

HOUSE BILL 1740

By Glynn

AN ACT to amend Tennessee Code Annotated, Title 49,
relative to the Individualized Education Act.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 49-10-1402(3), is amended by
deleting the subdivision and substituting:

(3) "Eligible student" means a resident of this state who:

(A)

(i) Is a child with any of the following disabilities as defined by the
state board of education pursuant to § 49-10-102:

- (a) Autism;
- (b) Deaf-blindness;
- (c) Hearing impairments;
- (d) Intellectual disability;
- (e) Orthopedic impairments;
- (f) Traumatic brain injury;
- (g) Visual impairments;
- (h) Developmental delay;
- (i) Multiple disabilities;
- (j) A specific learning disability; or
- (k) Deafness;

(ii) Has an active individualized education program (IEP) in
accordance with 34 C.F.R. § 300 et seq., § 49-10-102, and regulations of
the state board of education with one (1) of the disabilities pursuant to

subdivision (3)(A)(i) as the primary or secondary disability in effect at the time the department receives the request for participation in the program; and

(iii) Meets at least one (1) of the following requirements:

(a) Was previously enrolled in and attended a Tennessee public school for the one (1) full school year immediately preceding the school year in which the student receives an individualized education account (IEA);

(b) Is enrolling in a Tennessee school for the first time; or

(c) Received an individualized education account (IEA) in the previous school year; or

(B)

(i) Is a child with a medical condition that inhibits the child from attending school in person, as determined by the state board of education; and

(ii) Is entitled to attend a public school;

SECTION 2. Tennessee Code Annotated, Section 49-10-1402(6), is amended by deleting the subdivision and substituting:

(6) "Participating school" means:

(A) A nonpublic school that meets the requirements established in this part and seeks to enroll eligible students; or

(B) For an eligible student, as defined in subdivision (3)(B), a home school, as defined in § 49-6-3050(a)(1);

SECTION 3. Tennessee Code Annotated, Section 49-10-1404, is amended by adding the following as a new subsection:

(d) This section does not apply to an eligible student, as defined in § 49-10-1402(3)(B), or a participating school, as defined in § 49-10-1402(6)(B).

SECTION 4. Tennessee Code Annotated, Section 49-10-1403(d), is amended by adding ", as defined in § 49-10-1402(6)(A)," after "A participating school".

SECTION 5. Tennessee Code Annotated, Section 49-10-1405(a)(7), is amended by adding ", as defined in § 49-10-1402(6)(A)," after "of participating schools".

SECTION 6. Tennessee Code Annotated, Title 49, Chapter 10, Part 14, is amended by adding the following as a new section:

(a) A parent of an eligible student, as defined in § 49-10-1402(3)(B), shall ensure that funds in an IEA are used only for approved expenses listed in § 49-10-1403(b).

(b) The department shall create and implement a process to ensure that funds in an IEA for an eligible student, as defined in § 49-10-1402(3)(B), are regularly monitored to ensure compliance with this section and § 49-10-1403(b).

(c) The department may suspend or terminate an eligible student from participating in the program, if the department determines that the parent has failed to comply with the requirements of this section. If the department terminates an eligible student's participation in the program pursuant to this subsection (c), then the student is ineligible from participating in the program in the future.

SECTION 7. This act takes effect July 1, 2026, the public welfare requiring it.